**IN THE NATIONAL COMPANY LAW TRIBUNAL**
**ALLAHABAD BENCH, PRAYAGRAJ**

**CP (CAA) No.22/ALD/2021**
Connected with
**CA (CAA) No.16/ALD/2021**

*In the matter of*
The Companies Act, 2013
And
*In the matter of*
Section *2*30-Section 232 and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016
And

*In the matter of*

**Prachi Leathers Private Limited, a** *company formed under the provisions of the Companies Act,1956 and having registered office at: C-3 Udyog Nagar Kanpur-208022, Uttar Pradesh*

……APPLICANT NO.1/TRANSFEROR COMPANY.

And

**M/s RMA Investments Private Limited.**
*Company formed under the provisions of the Companies Act,2013 and having registered office at: 7/120 Swaroop Nagar, Kanpur- 208002, Uttar Pradesh (CIN: U67100UP2019PTC122438)*

……..APPLICANT NO.2/TRANSFEREE COMPANY

AND

THEIR RESPECTIVE CREDITORS AND SHAREHOLDERS

**Order reserved on: 28 .03.2022**

**Order pronounced on: 30.03.2022**

***Coram:***

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| Shri Rajasekhar V. K. | : | Member (Judicial) |
| Shri Virendra Kumar Gupta | : | Member (Technical) |

***Appearances (via videoconferencing):***

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| For the Applicant Companies | : | Aman Kumar Dwivedi, Advocate |
| For the Regional Director (NR), MCA | : | Mr Kuldip Singh, Asstt OL. |

**ORDER**

*Per : Virendra Kumar Gupta., Member (Technical)*

1. The court convened through videoconferencing.
2. The present Joint Company Petition is filed by Applicant Companies above named under Sections 230 and 232 and other applicable provisions of the

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Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 for sanction of Scheme of Arrangement of M/s Prachi Leathers Pvt Ltd **(*Applicant No.1/Transferor Company)*** *and M/s* RMA Investments Pvt Ltd **(*Applicant No.2/ Transferee Company)* (*hereinafter referred to as "Scheme" or "Scheme of Arrangement")***.

3. The Petition has now come up for final hearing. The Ld. Counsel for the Applicant Companies submits as follows: -

(i) The proposed 'Scheme of Arrangement' has previously been approved by the Board of Directors of the Applicant.No.1/ Transferor Company and the Applicant No.2/Transferee Company in their respective Board Meetings held on 22nd June, 2020.

(ii) The factual position of the Authorized, Issued, Subscribed and Paid up Share Capital of the Applicant Companies as on 31st March, 2020 is described in the present Company Petition.

(iii) The rationale of the proposed Scheme of Arrangement is elaborately described in the present Company Petition which may be summarized as under:

*A. The Scheme of Arrangement provides for the demerger of the* ***Business of Investment*** *of Applicant No.1/ Transferor Company, M/s Prachi Leathers Pvt. Ltd., as a going concern into Applicant No.2/ Transferee Company, M/s RMA Investments Pvt. Ltd., pursuant to the provisions of section 230 and 232 and other relevant provision of Companies Act, 2013.*

*B. Enable focused management orientation to each of the business undertakings due to individual specialization and leadership vision, which would provide greater visibility on the performance of the respective businesses.*

*C. The Management and Board of Directors of Applicant Companies would be able to chart-out independent strategies of their respective businesses to maximize value creation for the respective stakeholders.*

*D. Opportunities for strategic partnership and flexibility for fund raising capability for future growth and expansion and to create a structure geared to take advantage of growth opportunities.*

*E. The proposed Scheme of Arrangement will have beneficial impact on the Transferor and the Transferee Companies, their shareholders, employees and other stakeholders and all concerned.*

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4. The Applicant have stated that the accounting treatment proposed in the Scheme of Arrangement is in conformity with the Accounting Standards prescribed under Section 133 of the Companies Act, 2013 as certified by the Auditors of the Applicant Companies.

5. It has also been stated in the Petition that no proceedings under Sections 235 to 251 of the Companies Act, 1956 or under Sections 210 to 226 of the Companies Act, 2013 are pending against any of the Applicant Companies.

6. It has also been stated in the Petition that the Scheme is not prejudicial to the interest of the Shareholders and Creditors of the Applicant Companies and the Petition is made *bona fide* and is in the interest of all the Applicant Companies and their respective Shareholders and Creditors as a whole and is just and equitable.

7. It has been stated that all the Applicant No.1/Transferor Company and the Applicant.No.2/ Transferee Company are private limited closely held Group Companies under the common management and control, and as such, the Applicant.No.2/ Transferee Company shall issue and allot without any further application, act or deed and without any further payment, the Equity Shares to the Equity Shareholders of the Applicant No.1/Transferor Company in the manner provided under Para No. 8.3 of the Scheme.

8. It is also submitted that the Board of Directors of the Applicant Transferor Companies and the Transferee Company have determined the share exchange ratio as under:

   *a) The Transferee Company shall, without any further act or deed, issue and allot on a proportionate basis to each shareholder of the Transferor Company whose name is recorded in the register of members of the Transferor Company on the Record Date for this purpose, Equity Shares of Rs.10/- each in the Transferee Company, credited as fully paid up in the ratio (the "Entitlement Ratio") of 1 (One) Equity Share in The Transferee Company of Rs.10/- each credited as fully paid up for every 10 (Ten) fully paid up Equity Shares of Rs.10/- each held by such member in the Transferor Company.*

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9. The Applicant Companies have also annexed the valuation report dated 08TH January, 2021 given by Mr.Subodh Kumar, The Registered Valuer in respect of Securities or Financial Assets, registered with the Insolvency and Bankruptcy Board of India (IBBI) in relation to the share exchange ratio.

10. A perusal of the present Petition discloses that initially the Applicant Companies had filed Company Application CA (CAA) No. 16 / ALD / 2021 seeking directions of this Tribunal to dispense with the requirement of convening meetings of Equity Shareholders & Secured Creditor of both the Applicant Companies & meeting of Unsecured Creditor of the Applicant. No.2/Transferee Company, and further direct the convening of the Meeting of Unsecured Creditors of the Applicant No.1/Transferor Company, whose outstanding balance in the books of accounts as on 31.03.2020 is Rs. 2 Lakh & More. Accordingly, this Hon'ble Tribunal vide its Order dated 27th August, 2021, dispensed with the requirement of convening meetings of Equity Shareholders & Secured Creditor of both the Applicant Companies and also dispensed with convening of the meeting of Unsecured Creditors of the Applicant No.2/ Transferee Company and further directed to convene the Meetings of Unsecured Creditors of the Applicant.No.1/Transferor Company, whose outstanding balance in the books of accounts as on 31.03.2020 is Rs. 2 Lakh & More and dispensed with requirement of sending of sending individual notices to those unsecured creditors whose outstanding balance in the books of accounts as on 31.03.2020 is less than 2 lakh Rupees, the said meeting were to be convened on Saturday, the 16th October, 2021 at 12.00PM at the Head Office and Works of the Company at *: C-3 Udyog Nagar Kanpur- 208022, Uttar Pradesh,* for the purpose of considering and, if thought fit, approving, with or without modification(s), the Scheme of Arrangement.

11. This Hon'ble Tribunal vide its Order dated 27th August, 2021 had appointed Mr. Ranajit Some, Advocate as the Chairperson and Mr. Ajit Ray, Advocate as the Alternate Chairperson of the Meeting including for any adjournment(s) thereof. Further, the Hon'ble Tribunal, had appointed Ms.Monica Nanda,

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Practicing Company Secretary, as a Scrutinizer for the said meetings of the Unsecured Creditors of the Applicant No.1/Transferor Company for conducting the postal ballot and poll process in a fair and transparent manner.

12. This Hon'ble Tribunal vide its Order dated 27thAugust, 2021 directed to issue notice of hearing in respect of present Company Petition to the Statutory Authorities and also to make paper publication in respect thereof in English Newspaper 'Business Standard' and Hindi Newspaper 'Rashtriya Sahara' having circulation in Kanpur where Registered office of the Applicant Companies is situated.
13. Pursuant to the Order dated 27th August, 2021, the Applicant Companies served notices upon the Regional Director (Northern Region) Ministry of Corporate Affairs, New Delhi, Registrar of Companies, Uttar Pradesh, Kanpur, and the Income-Tax Department having jurisdiction over the Applicant Companies and Affidavit of service of such notices was filed by the Authorised Representative of the Applicant No.1/ Transferor Company with this Tribunal on 8th October, 2021.
14. As per the directions of this Tribunal dated 27th August, 2021, the Notices of the "Unsecured Creditors" Meetings of the Applicant.No.1/Transferor Company whose outstanding balance in the books of accounts as on 31.03.2020 is Rs. 2 Lakh & More, were dispatched from 9th September, 2021 to 10th September, 2021 by Speed post, Courier, with a copy of the 'Scheme of Arrangement', the Explanatory Statement required under Sections 230 and 102 of the Companies Act, 2013 read with Rule 6 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, Form of Proxy and Postal Ballot Form. Further as required by the said Order, Notices of the Meeting of Unsecured Creditors of the Applicant.No.1/Transferor Company were also advertised in Newspapers in 'Business Standard' (English) and 'Rashtriya Sahara' (Hindi) dated 13th September, 2021. The Affidavit of the Chairman appointed for the Meeting as to service of Notice of meeting upon the Unsecured Creditors whose outstanding balance in the books of accounts as on 31.03.2020 is Rs. 2 Lakh & More of the Applicant.No.1/Transferor Company

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and publication thereof in newspapers was filed with this Tribunal on 5th October, 2021.

15. Further, as per the directions of this Tribunal dated 27th August, 2021, the Meeting of the Unsecured Creditors of the Applicant No.1/Transferor Company whose outstanding balance in the books of accounts as on 31.03.2020 is Rs. 2 Lakh & More, were duly convened and held on 16th October, 2021 at 12.00PM at the Head office and Works of the Applicant.No.1/Transferor Company at *C-3 Udyog Nagar Kanpur- 208022, Uttar Pradesh,* and Mr. Ranajit Some, Advocate, Mr. Ajit Ray, Advocate and Ms. Monica Nanda, PCS acted as the Chairperson, Alternate Chairperson and Scrutinizer respectively for the said Meeting.
16. Subsequent to the Meetings of Unsecured Creditors of the Applicant No.1/Transferor Company, the Chairperson of the Meetings submitted his reports supported with Affidavits with this Tribunal on 13th November, 2021, declaring that the Scheme has been approved by the Unsecured Creditors of the Applicant No.1/Transferor Company, requisite majority.
17. The Applicant Companies filed the Second Motion Petition being Company Petition No. CP (CAA) No.22 /ALD /2021 on 18th November, 2021. This Tribunal *vide* its Order dated 24st November, 2021 directed the Applicant Companies to serve notices of the Petition upon the Regional Director (Northern Region), Registrar of Companies, Uttar Pradesh, Kanpur, Income-Tax Authority and other Sectoral Regulatory Authorities for filing their representation and also directed to effect the paper publication in in "Business Standard" (English Edition) and "Rastriya Sahara" (Hindi Edition) having circulation in District Kanpur, Uttar Pradesh.

18. In compliance thereof, the Applicant Companies on 08th January, 2022, filed Affidavits of service and publication, confirming that notices have been duly published in "Business Standard" (English Edition) and "Rastriya Sahara" (Hindi Edition) having circulation in District Kanpur, Uttar Pradesh. The Applicant Companies have duly served notices to (a) the Central Government through the office of the Regional Director (Northern Region), Ministry of

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Corporate Affairs, New Delhi; (b) the Registrar of Companies, Uttar Pradesh, Kanpur; (c) The Income-Tax Departments having jurisdiction over the Applicant Companies.

19. In response to the above stated notice the Regional Director the Regional Director, Northern Region, Ministry of Corporate Affairs, New Delhi has filed his Representation affidavit along with Report of ROC dated 02nd March, 2022 and has not made any adverse observation to the Scheme.

20. The Income-Tax Department has not filed any representation within 30 days of service of the notice of the Petition. Hence, pursuant to Section 230(5) of the Companies Act, 2013 read with Rule 8(3) of the Companies it is presumed that the Income-Tax Department has no objection on the Scheme of Arrangement filed by the Applicant Companies.

21. We have gone through the Representation Affidavit of the Ld. Regional Director (Northern Region), Ministry of Corporate Affairs, New Delhi, Ld. And Report of Registrar of Companies, Uttar Pradesh, Kanpur and after perusing the same, we find that there appears to be no reservation to grant sanction to the Scheme and we are of the view that the sanction of the present Scheme is not against public policy, nor it would be prejudicial to the public interest at large.

22. In addition to above, all the statutory compliance seems to have been complied with by the Companies, therefore, the present Company Petition deserves to be allowed in terms of its Prayer clause.

23. In the result, the proposed Scheme of Arrangement, which is annexed to the Company Petition stands approved and sanctioned. The Applicant Companies are required to act upon as per terms and conditions of the sanctioned Scheme and the same shall be binding on all the Shareholders, Secured Creditors and Unsecured Creditors of the above named Applicant Companies and also on the Applicant Companies with effect from the Appointed Date i.e. 1st day of April, 2020.

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24. While approving the Scheme as above, it is clarified that this order should not be construed as, in any way, granting exemption from payment of stamp duty (if any, is applicable), taxes (including Income Tax, GST or any other charges, if any, are applicable) and payment in accordance with law or in respect to any permission / compliance with any other requirement which may be specifically required under any law.

25. The Applicant Companies shall within thirty days of the date of the receipt of this order cause a certified copy of this order to be delivered to the Registrar of Companies, Kanpur for registration.

26. All the concerned Regulatory Authorities to act on a copy of this order annexed with the Scheme duly authenticated by the Registrar of this Bench.

27. Leave is granted to the Applicant to file the Schedule of Assets within a period of sixty days.

28. Any person interested shall be at liberty to apply before this Tribunal in the above matter for such directions as may be necessary.

29. Accordingly, the present Company Petition bearing CP (CAA) No. 22/ALD/2021 is allowed and stands disposed of.

30. Urgent certified copies of this order, if applied for, be supplied subject to usual formalities.

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Rajasekhar V K
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**Virendra Kumar Gupta**
**Member (Technical)**

**Rajasekhar V.K.**
**Member (Judicial)**